

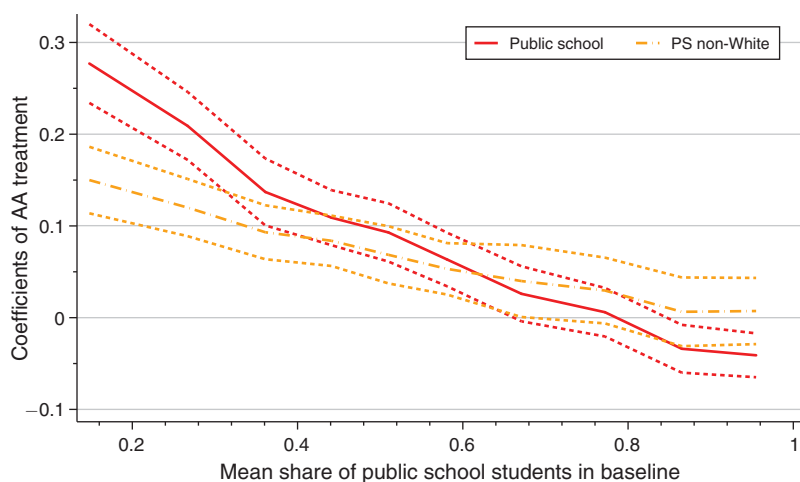


FIGURE 3. EFFECT OF AA ON ENROLLMENTS OF PUBLIC SCHOOL STUDENTS BY BASELINE SHARE

Notes: I plot the estimates of the treatment effects of AA on enrollments of public school students (PS) and non-White public school students (PSNW), estimated by decile of the share of PS matriculation in baseline. Using my main specification, I interacted dummies for each decile of PS in baseline with the treatment variables $SISU_{pub}$, AA_{it} —both demeaned—and their interaction. The estimation included time and program-institution fixed effects, a municipality linear trend, and a control for the number of vacancies by program. Standard-errors are clustered at the institutional level. Dashed lines of the same color around the main effects correspond to approximate 95 percent confidence intervals.

the fifth, sixth, and seventh deciles, the mean share of PS in the baseline is 51, 58, and 67 percent. Yet, a full introduction of AA increases enrollments of this group by 9, 6, and 3 percentage points in these programs. This suggests that the introduction of AA induces behavioral changes (e.g., more and better PS applicants) that lead to more enrollments of public school students even in the part of the distribution of programs where no effect would be expected through the simple mechanical change in the admission rule.

Finally, I investigate if AA induces changes in average enrollees' grades. Column 3 of Table 7 shows that the full adoption of AA decreases average grades of incoming students by 0.05 standard deviations. Yet, by including individual controls for PS, NW, and LI status (column 4), this effect vanishes. This suggests that the negative effect of AA on enrollees' grades can be fully explained by changes in the composition of students. This result masks important heterogeneity. In column 5, we see that AA increases the average grades of private school students by 0.13 standard deviation, while it decreases average grades of public school students by 0.1 standard deviation, increasing the variance of grades of the incoming cohort. This is consistent with the fact that AA decreases enrollments of private school students—only the best ones of the group are accepted—and increases enrollments of public school students. While behavioral effects on grades induced by changes in effort and incentives are likely, this cannot be confirmed with the current framework.